

37SIGNALS · SAAS (BASECAMP, HEY)

Rethinking a \$3.2M-a-year cloud bill

How the company behind Basecamp and HEY questioned its cloud spend and moved steady workloads to its own hardware, and why most mid-size companies should apply the lesson inside the cloud instead.

\$3.2M

yearly cloud bill (2022)

~\$10M

projected savings over five years

0

people added to the ops team

Industry	B2B and consumer SaaS
Problem	Cloud spend growing without a matching benefit for steady, predictable workloads
Approach	Know the unit cost, then run steady workloads on owned hardware
Source	37signals, "Leaving the Cloud" [1]

01 The challenge

37signals' annual cloud bill had reached about \$3.2 million [1]. Its products had mature, predictable traffic, so it was paying a premium for elasticity it rarely used, and the promised savings in operations effort hadn't materialised.

02 What 37signals did

- **Worked out the real unit cost** of running its steady workloads, and compared renting with owning.
- **Bought hardware for the predictable baseline** and moved its applications out of the cloud during 2023 [1].
- **Kept the same team.** The move was done without adding anyone to the operations team [1].
- **Finished the job.** It later moved its remaining storage off the cloud as its storage contract ended in 2025 [2].

03 The results

37signals projects savings of about \$10 million over five years [1], and reports the move was done without growing its operations team.

The lesson: the cloud is a pricing model, not a default. Know what each workload costs you, and pay for elasticity only where you actually use it.

04 At your scale: a 90-day plan

Most mid-size companies shouldn't buy servers: 37signals had a steady, well-understood workload and an experienced ops team. Apply the same discipline inside the cloud first.

Days 1-30 · See the spend	Days 31-60 · Cut the waste	Days 61-90 · Commit and govern
• Tag every resource by team, product and environment • Attribute 90%+ of the bill to an owner • Work out cost per customer or per transaction	• Right-size over-provisioned instances and databases • Schedule non-production to switch off out of hours • Delete idle volumes, snapshots and load balancers	• Buy Savings Plans, reservations or committed-use discounts only for steady usage • Budgets and anomaly alerts routed to owners • A monthly FinOps review; revisit repatriation only for truly flat workloads

05 Readiness checklist

- ☐ You know last month's bill by team
- ☐ Every resource has an owner tag
- ☐ You know your cost per customer
- ☐ Non-production shuts down at night
- ☐ Commitments cover only steady usage
- ☐ Anomaly alerts reach the owning team
- ☐ Spend is reviewed monthly
- ☐ You know which workloads are truly flat

Want this plan for your team?
A 30-minute call: we'll look at your bill and tailor the 90 days.

Book a discovery call

Sources

1. 37signals, "Leaving the Cloud": basecamp.com/cloud-exit
2. The Register, "37signals is completing its on-prem move" (May 2025): theregister.com

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